

- d. Vivian income statement for the month of August is shown below (when Vivian sold 2,100 sandwiches for \$4 each. Convert this income statement to a contribution margin format.

Traditional Income Statement

Sales	\$8,400
Cost of COGS (food)	1,575
Gross Profit	6,825
Operating Expenses	4,265
Income before taxes	<u>\$2,560</u>

Contribution Margin Income Statement

Sales

Variable Expenses

Contribution Margin

Fixed Expenses

Income before taxes